

Mohd Jamil vs Mohd Illiyas on 24 August, 2024

IN THE COURT OF MS. POOJA SUHAG, JUDICIAL MAGISTRATE
FIRST CLASS (N.I. ACT), DIGITAL COURT -01, CENTRAL, TIS
HAZARI COURTS, DELHI

In the matter of: CC No.: 3 8 4 /2022
CNR NO. :DLCT020284912021

MOHD. JAMIL
S/o. Mohd. Yunus,
R/o. A-13, Gali No. 8,
Shastri Park, Delhi - 110 053

.....Complainant

versus

Mohd. Illiyas
S/o. Sh. Chhotey Khan,
R/o. H. No. D-36/1, Gali No. 3,
Shastri Park, Delhi - 110 053.

.....Accused

JUDGMENT

Date of Institution of Complaint	: 31.12.2021
Offence Complained of Act	: u/s. 138 of NI Act
Plea of Accused	: Pleaded Not guilty
Reserved for orders	: 20.08.2024
Decision Qua Accused	: ACQUITTED
Date of Decision	: 24.08.2024

BRIEF STATEMENT OF REASONS FOR DECISION

1. The present complaint has been filed against the accused under Section 138 of the Negotiable Instruments Act, 1881 (hereinafter "NI Act"), for dishonor of the cheque mentioned in the table below :-

The substance of allegations and assertions of the complainant is that the POOJA by POOJA SUHAG C.C. No. 384/2022 SUHAG Date: 2024.08.24 14:39:25 +0530 complainant is the proprietor of his enterprises i.e. HRA E□Waste Recycler, organization and the complainant is the law abiding citizen of India and he residing same vicinity of the accused and known to each other for business terms and also

visiting terms at their residence and offices. That the accused person purchased the scrap from the complainant organization i.e. HRA E Waste Recycler through two invoices No.055 and 056 of Rs.1,76,410/- each dated 20.03.2021 and in discharge of his legal liability, the accused issued a cheque No.044569 dated 20.03.2021 of Rs.3,52,820/- drawn on Dena Bank, Gandhi Nagar, Delhi in favour of Proprietary concern of the complainant with assurance and undertaking that the said cheque would be honored on its presentation. That as per the assurance and undertaking given by the accused and after discussion and knowledge of the accused, the complainant presented the said cheque in his bank UNION Bank of India, SB Sarafa Market, Central Delhi-110006 for encashment on 22.03.2021, but the said cheque was returned unpaid on 23.03.2021 with remarks "drawer's signature differs". That after receiving the information qua the returning of the said on 25.03.2021 complainant contacted with the accused and made request and demand to pay the cheque amount through cash/DD/NEFT/RTGS, etc., but the accused flatly refused to pay the said cheque amount intentionally and deliberately. thereafter, the complainant issued a Legal notice dated 08.09.2021 to the accused and served the said notice on 13.09.2021 as per the track consignment report to the accused. the accused had given the cheque or consideration to discharge his legal liability and debts, but the accused knowingly and intentionally got the said cheque dishonored and the accused POOJA Digitally signed by POOJA SUHAG SUHAG Date: 2024.08.24 14:39:36 +0530 has committed an offence under section 138, 142 of N.I. Act along with under section 420 of IP C and the accused cheated the complainant by issuing the said cheque after his knowledge of defer his signatures and no sufficient funds in account of accused and intentionally and deliberately issued the said check which got bounced to be dishonoured as to drawer signature differs.

2. After the accused was summoned, notice of accusation under Section 251, Code of Criminal Procedure, 1973 (hereinafter "CrPC") was served upon the accused. In reply to the notice of accusation, the accused pleaded not guilty and claimed trial. He also denied the issuance of any cheque to the complainant and have stated in his plea of defence that " I have never issued the cheque in question to the complainant. The same does not bear my signatures or handwriting. I do not know how the complainant came in possession of my cheque. I have never taken any material from the complainant. The bills attached alongwith the complaint are forged. I do not have any debt or liability towards the complainant." He denied the receipt of legal notice. In the application under Section 145 (2) NI Act filed by the accused, it is stated that the complainant had misused the blank cheque.

3. During the trial, the complainant has led the following oral and documentary evidence against the accused to prove his case beyond reasonable doubt:

ORAL EVIDENCE CW- Mohd. Jamil (complainant).

POOJA by POOJA SUHAG SUHAG Date: 2024.08.24 14:39:47 +0530
DOCUMENTARY EVIDENCE

1. Original cheque No. 044569 for Rs.3,52,820/— drawn on Dena Bank Gandhi Nagar, Delhi - 110031, Ex. CW□/1
2. Original returning memo dated 23.3.2021, Ex. CW□/2
3. True copy of legal notice dated 8.9.2021, Ex. CW□/3
4. Original postal receipt No. ED9994426IN dated 9.9.2021, Ex. CW□/4
5. Original track report dated 19.9.2021, Ex. CW□/5
6. Copy of invoice No. 055 and 056 both dated 20.3.2021, Ex. CW□/6 & 7
7. Copy of E□way bill dated 20.3.2021, Ex. CW□/8
8. Copy of Aadhar Card No: 5634 2975 9660 of the accused, Ex. CW□/9
9. Copy of Aadhar Card No: 4894 8428 7207 of the complainant Ex. CW□
10. Registration Certificate , Udyog Aadhar & Order Dt. 25/11/2021 in CC No. 738/2021.

4. Thereafter, before the start of defence evidence, in order to allow the accused to personally explain the circumstances appearing in evidence against her, the statement of accused under Section 313 CrPC (read with Section 281 CrPC) was recorded without oath. Every incriminating evidence appearing on record was put to the accused. In reply, the accused stated that "I have never purchased any material from the complainant. Complainant is my childhood friend and we know each other for a very long time. I do not know in what business the complainant is. I never had any monetary transaction with the complainant. The complainant has obtained my cheques from somewhere and has misused the same. I do the work of picking of "KABAAD" (Scrap) on cycle and rickshaw. I do not have any debt or liability towards the complainant. Complainant has misused the cheque in POOJA Digitally signed by POOJA SUHAG SUHAG Date: 2024.08.24 14:39:57 +0530 question." Pursuant thereto, he stated that she does not wish to lead defence evidence.

5. I have heard the learned counsel appearing for the parties and have given my thoughtful consideration to the material appearing on record.

6. It has been argued by the learned counsel for the complainant that he has fulfilled all the ingredients in the present matter. As such, it is prayed that the accused be punished for the said offence.

7. Per contra, learned counsel for the accused has argued that the complainant has failed to establish his case beyond reasonable doubt.. He has argued that accused has no legal enforceable liability of the cheque amount as the signature on the cheque has been denied by the accused and also that the

bills are also forged and fabricated. The accused has also denied the receiving of legal notice and that the accused has stated that he never issued the cheque-in question to the complainant, and the same does not bear his signature or handwriting, and he does not know how the complainant came in possession of the cheque and he has never taken any material from the complainant and there were there is no liability towards the complainant. ANALYSIS -

8. Before dwelling into the facts of the present case, it would be apposite to discuss the legal standards required to be met by both sides. In order to establish the offence under Section 138 of NI Act, the prosecution must fulfill all the essential ingredients of the offence. Perusal of the bare provision reveals the following necessary ingredients of the offence :
□POOJA by POOJA SUHAG
SUHAG Date: 2024.08.24 14:40:06 +0530
First Ingredient: The cheque was drawn by a person on an account maintained by him for payment of money and the same is presented for payment within a period of 3 months from the date on which it is drawn or within the period of its validity;

Second Ingredient: The cheque was drawn by the drawer for discharge of any legally enforceable debt or other liability; Third Ingredient: The cheque was returned unpaid by the bank due to either insufficiency of funds in the account to honour the cheque or that it exceeds the amount arranged to be paid from that account on an agreement made with that bank;

Fourth Ingredient: A demand of the said amount has been made by the payee or holder in due course of the cheque by a notice in writing given to the drawer within thirty days of the receipt of information of the dishonour of cheque from the bank;

Fifth Ingredient: The drawer fails to make payment of the said amount of money within fifteen days from the date of receipt of notice.

9. The accused can only be held guilty of the offence under Section 138 NI Act if the above□ mentioned ingredients are proved by the complainant co□extensively. Additionally, the conditions stipulated under Section 142 NI Act have to be fulfilled.

10. In the present matter, it is not disputed that the cheque Ex. CW1/1 was drawn on the account of the accused and was presented within POOJA by POOJA SUHAG C.C. No. 384/2022 SUHAG Date: 2024.08.24 14:40:16 +0530 limitation period. Further, the return memos Ex. CW1/2 and Ex. CW1/3 have been proved by the complainant. As per the return memos, the cheque in question was dishonoured on the ground of "DRAWERS SIGNATURE DIFFERS". There is no dispute at bar regarding these aspects.

11. With regard to the legal demand notice, Ex. CW1/4, the accused has denied receipt of the legal notice in his statement recorded under Section 251 and Section 313 CrPC. However, the accused has admitted that the address mentioned on the legal demand notice belongs to him.

12. The case of the complainant is that the notice was served in due course. In this regard, it is observed that the legal demand notice has been served upon the address of the accused on record, on which the Court process has also been served. Further, the same address has been disclosed by

the accused during recording of her statement under Section 251 CrPC and Section 313 CrPC. In his statement under Section 313 CrPC, the accused stated that the address mentioned on the legal notice is his correct address. As such, in terms of Section 27 of the General Clauses Act, 1897, and Section 114 of the Indian Evidence Act, 1872, the service of notice can safely be presumed. Further, in this regard, a three judges' bench of the Hon'ble Supreme Court in C.C. Alavi Haji v. Palapetty Muhammed and Another (2007) 6 SCC 555 has held that:

".....Any drawer who claims that he did not receive the notice sent by post, can, within 15 days of receipt of summons from the court in respect of the complaint under Section 138 of the Act, make payment POOJA Digitally signed by POOJA SUHAG SUHAG Date: 2024.08.24 14:40:36 +0530 of the cheque amount and submit to the Court that he had made payment within 15 days of receipt of summons (by receiving a copy of complaint with the summons) and, therefore, the complaint is liable to be rejected. A person who does not pay within 15 days of receipt of the summons from the Court along with the copy of the complaint under Section 138 of the Act, cannot obviously contend that there was no proper service of notice as required under Section 138, by ignoring statutory presumption to the contrary under Section 27 of the G.C. Act and Section 114 of the Evidence Act. In our view, any other interpretation of the proviso would defeat the very object of the legislation."

13. It is admitted fact that no payment was made within fifteen days of the receipt of court summons. Therefore, in view of above, the service of legal demand notice has been amply proved by the complainant.

14. The only point remaining to be adjudicated is whether the cheque in question was issued by the accused in discharge of a legally enforceable debt. In the present case, the accused has denied that the cheque in question was issued by him. Therefore, no question of raising the presumption under section 118(a) & 139 NI ACT arises in the present scenario and therefore the burden of proof lies with the complainant to prove that the said cheque was issued by the accused himself and bear his signature, and also that the same is issued for a legally existing debt and liability.

15. To prove the same, the complainant has examined himself and stated POOJA by POOJA SUHAG SUHAG Date: 2024.08.24 14:40:45 +0530 that the complainant is the proprietor of his enterprises i.e. HRA E□Waste Re cyler, organization and the complainant is the lawabiding citizen of India and he residing same vicinity of the accused and known to each other for business terms and also visiting terms at their residence and offices.

16. That the accused person purchased the scrap from the complainant organization i.e. HRA E Waste Re cyler through two invoices No.055 and 056 of Rs.1,76,410/□each dated 20.03.2021 and in discharge of his legal liability, the accused issued a cheque No.044569 dated 20.03.2021 of Rs.3,52,820/□drawn on Dena Bank, Gandhi Nagar, Delhi□31 in favour of Proprietary concern of the complainant with assurance and undertaking that the said cheque would be honored on it's presentation.

17. That as per the assurance and undertaking given by the accused and after discussion and knowledge of the accused, the complainant presented the said cheque in his bank UNION Bank of India, SB Sarafa Market, Central Delhi□10006 for encashment on 22.03.2021, but the said cheque was returned unpaid on 23.03.2021 with remarks "drawer's signature differs'.

18. That after receiving the information qua the returning of the said cheque on 25.03.2021, the complainant contacted with the accused and made request and demand to pay the cheque amount through cash/DD/NEFT/RTGS, etc., but the accused flatly refused to pay the said cheque amount intentionally and deliberately. That, thereafter, the complainant issued a Legal notice dated 08.09.2021 to the accused and served the said notice on 13.09.2021 as per the track consignment report to the accused. POOJA Digitally signed by POOJA SUHAG SUHAG Date: 2024.08.24 14:40:54 +0530

19. That, the accused had given the cheque or consideration to discharge his legal liability and debts, but the accused knowingly and intentionally got the said cheque dishonored and the accused has committed an offence under section 138, 142 of N.I. Act along with under section 420 of IP C and the accused cheated the complainant by issuing the said cheque after his knowledge of defer his signatures and no sufficient funds in account of accused and intentionally and deliberately issued the said check which got bounced to be dishonored as to drawer signature differs.

20. It is pertinent to mention here that when the accused has denied his signatures on the cheque in question, it was incumbent upon the complainant to bring into the witness box The bank officials from the concerned bank to bring on record the fact that the same has been signed by the accused or not, moreover, the complainant himself has stated that the ingredients of the cheque were not filled by the accused, however, the signature was done by him in his presence, which is again mere bald assertions put forth by the complainant lacking any substance as no efforts were put in by the complainant to substantiate his claims. It is pertinent to mention here that the sole reason for dishonor of cheque in the present matter is a "DRAWER SIGNATURE DIFFERS". Therefore, one of the essential ingredient that needed to be fulfilled by the complainant was that the same was issued by the accused in order to attach any liability under the provisions of NI act in general and of section 138 NI act in particular. However, the complainant has failed to establish this indispensable ingredient. Therefore, he has failed to establish his case beyond reasonable doubt. Digitally signed POOJA by POOJA SUHAG SUHAG Date: 2024.08.24 14:41:05 +0530

21. in view of the fact and circumstances discussed above, it is not required for the court to go beyond and search the evidence led by defence or the statements recorded by him in his plea of defence or under section 313 CrPC as to whether he has been able to punch holes in testimony of the complainant or not. Rather, the case of the complainant suffers from severe infirmities and is therefore is not being able to stand on its own legs and prove its own metrics.

22. As a result, the complainant has failed to prove the offence beyond reasonable doubt. Resultantly, the Accused MOHD. ILLIYAS is hereby ACQUITTED of the offence under Section 138 of the Negotiable Instruments Act, 1881.

Announced in Open Court in presence of the accused.

POOJA Digitally signed by POOJA SUHAG SUHAG Date: 2024.08.24 14:41:19 +0530 (POOJA SUHAG) Judicial Magistrate First Class (N.I. Act) Digital Court -01, Central, Delhi/24.08.2024